

The yield was their own money

Signal	On October 4, 2026, two REITs (real estate investment trusts) sold to retail investors by Phoenix American Hospitality, holding stakes in seven Hilton- and Marriott-branded hotels, filed Chapter 11 in Texas.
Read	The SEC says the funds' "up to 12% per year" was paid mostly from investors' own money. After a June settlement, a class action and the sponsor's exit, Chapter 11 freezes lenders and lawsuits so one court sorts who gets paid. What forced the October 4 date is not public.
Cost	Investors paid \$86 million in. Lenders on the hotels, owed about \$61 million in mid-2024, are paid before them. The current debt and the cost of the case are not disclosed yet.

The simple version

Picture a co-op that promised a 12% dividend while it held a stake in one building, and paid the dividend from members' deposits. When deposits stopped, so did the dividend. Chapter 11 is the court-run pause: the hotels keep running, lenders and lawsuits wait, and a judge sets the order of payment.

Paid out far more than its revenue



The second fund (REIT II), January to June 2024, from its semi-annual SEC filing.

The money walk

1. The raise \$86M Raised from 2,000-plus retail investors, promised up to 12% a year.	2. To Jan 2024 \$1.5M The first fund's only hotel stake; the SEC says it claimed up to 11.	3. In 2023 \$5M+ Paid out against about \$5,000 of hotel earnings, per the SEC (a floor).	4. Mid-2024 ~\$61M Loans on the seven hotels, owed before investors. Payouts paused July 15.	5. Jun 2026 \$709,352 SEC penalties owed to the government, settled without admitting. Filing followed in October.
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The alternative, side by side

Chapter 11		Lenders foreclose, hotel by hotel	
Where it is decided	One court, all entities	Where it is decided	Arkansas, Louisiana, Florida courts
Lawsuits and lenders	Paused	Lawsuits and lenders	Proceed
The hotels	Keep operating, same brands	The hotels	Lender or buyer takes each
Who funds the process	The bankrupt estate	Who funds the process	Lenders fund receivers
Investors	Last in line, with a vote	Investors	Behind each lender, hotel by hotel

REIT I paid, to 2022	Paid, 2023	Earned, to 2022	Earned, 2023	= Not earned, Est
\$1.4M	\$5M	\$200,000	\$5,000	\$6.2M

Who else

Who	Counterparty	Size	Status	New or existing	The read
Su-Mei Yen hotels, Chicago	ACORE Capital lender affiliate; EB-5 investors (foreigners investing for visas)	Nearly \$187M foreclosure claim	Chapter 11, Mar 2026	Existing hotels	Like AHP, owners filed as lenders closed in; outside investors wait behind them.
Moody National REIT II	Stockholders, lenders	\$171.2M of assets	Payouts suspended; liquidation voted, 2025	Existing hotels	Same hotel type, no court: payouts stop, hotels are sold, investors share the rest.
Procaccianti Hotel REIT	Class A holders	\$109.3M portfolio	19.7% of requests to cash out filled, 2026	Existing hotels	No fraud alleged; ordinary shareholders still wait behind fees.
GPB Capital	About 17,000 retail investors	More than \$1.7B raised	Court-appointed receiver runs the assets	Existing businesses	The fraud end of the same pitch: years in court to recover money.

What the fine print said

Sponsor fees	Up to 3% of each hotel's price, 1% of hotel revenue each year, and 2.5% of money raised for offering costs.
Debt	Up to 70% of each hotel's value could be borrowed, and lenders are paid before shareholders.
Payouts	Discretionary; paused July 15, 2024, after an SEC subpoena.
Getting out	Shares sold under Regulation A (a lighter-review public offering), not listed on any exchange, so there is no market to sell into.
Penalties	Civil penalties go to the government, not to investors.

What is not being said

The SEC says the yield was a refund.

On June 5, 2026, the SEC said "neither of the funds was profitable and distributions were primarily funded by returns of investor capital." A distribution rate in a fund pitch is a payout policy, not evidence of profit.

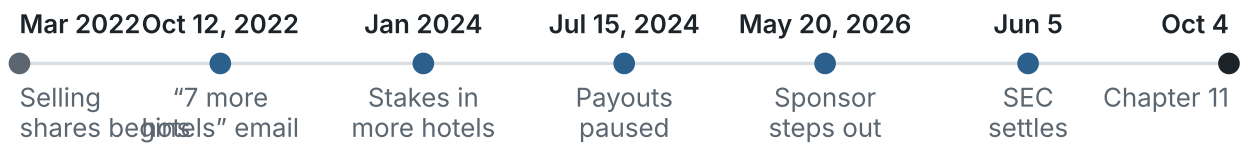
The settlement does not reach investors.

The sponsor and its former chief executive, William Lee Nelson, settled without admitting the allegations and owe \$709,352 to the government; Nelson's judgment orders no repayment to investors. Their money comes back, if at all, through the bankruptcy, behind the lenders.

Hilton and Marriott did not file.

The brands only license their names and are not debtors. On May 20, 2026, Nelson resigned as chief executive and the sponsor's management contract ended, months before the filing. The problem sits in the funds that own the hotel stakes, not in the brands.

The twist: the hotels arrived after the money



Fact The \$709,352 in penalties is about 0.8% of the \$86 million investors put in.

The everyday version

Retail money reaches hotels and other real estate through funds that lead with a yield. At GPB Capital, a court-appointed receiver (a manager who runs assets for creditors) had returned \$400 million to investors by March 31, 2026, and still held about \$705 million in cash. Moody National REIT II took the quiet route: it suspended payouts, voted to liquidate and sold hotels outside court.

Where it breaks: GPB’s executives were criminally convicted and its money had to be traced; here the seven hotels are real and branded, so recovery turns on what they sell for against the loans.

Three questions for an executive

For each private fund we hold, what share of the last 12 months’ payouts came from operating cash flow?	Then: below 100%, book the difference as return of capital, not yield.
How many dollars of debt rank ahead of each dollar of our equity?	Then: price the position from the hotel value left after the loans, not from the payout rate.
What share of the money raised was invested in assets when payouts began?	Then: if under half, ask where the payouts came from before adding money.

What to watch

- By Nov 13, 2026Creditors’ meeting, sworn answers on the debts. Confirms: debt near the \$61 million of 2024. Breaks: far higher.
- About Feb 1, 2027The funds’ exclusive window to propose a plan ends. Confirms: a sale or lender-led plan. Breaks: a plan that repays most investors.

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